

BUSINESS PLAN/PROGRAM

PROSPERIDAD MULTI-PURPOSE COOPERATIVE (PROMULCO)

Purok 15, Barangay Poblacion, Prosperidad, Agusan del Sur

For Calendar Year 2025 – 2026

I. INTRODUCTION

The Prosperidad Multi-Purpose Cooperative (PROMULCO) is a duly organized business entity engaged in lumber trading, stick retailing, and wood product distribution. It operates within Purok 15, Barangay Poblacion, Prosperidad, Agusan del Sur.

PROMULCO is composed of enterprising individuals primarily involved in the buying and selling of sawn lumber, sticks, and semi-finished wood products sourced from legitimate suppliers and private plantations. The cooperative is duly registered and operates in accordance with existing environmental laws and regulations under the Department of Environment and Natural Resources (DENR).

The cooperative envisions strengthening the local economy of Prosperidad by promoting sustainable wood trading practices. It supports the government's environmental programs, particularly the National Greening Program, through the procurement of plantation-grown timber and active participation in tree-growing activities.

The lumber trading operation of PROMULCO provides a stable income source for local residents and contributes to local development through employment generation, taxes, and participation in livelihood initiatives.

II. OBJECTIVES

Main Objectives

- To maintain and operate a functional and compliant lumber yard within Prosperidad to meet the increasing demand for quality lumber and wood products in the municipality and nearby towns;
- To provide employment and livelihood opportunities for local residents;
- To support private tree planters by ensuring a fair and consistent market for plantation-grown timber;
- To promote sustainable forest resource utilization in support of DENR programs and policies; and
- To expand market presence through quality service and reliable wood product distribution both within and outside Agusan del Sur.

Secondary Objectives

- To dispose of approximately 20,000–21,000 board feet of lumber, sticks, and finished wood products per quarter, with potential increases based on market demand;
- To introduce semi-finished wood products such as crates, boxes, and furniture components to diversify business income sources.

III. MARKETING PROGRAM

A. Products

PROMULCO shall primarily trade the following:

- Lumber, sticks, crates, and boxes derived from plantation species such as Falcata, all sourced from legitimate suppliers and licensed dealers.

B. Pricing Structure/Strategy

PROMULCO shall engage in both wholesale and retail transactions. Prices will be based on the prevailing market rate and may be adjusted according to:

- Species and quality of lumber;
- Cost of production including labor, electricity, and freight;
- Taxes, handling, and operating expenses.

A profit margin of approximately 25% will be applied to ensure sustainable operations.

C. Distribution Channels and Outlets

Lumber and finished products will be distributed primarily within Prosperidad and neighboring municipalities, with potential regional expansion. Sales will be on a Cash on Delivery (COD) basis, and official receipts will be issued for every transaction.

D. Promotional Activities

PROMULCO will participate in local community events, environmental programs, and government-led projects to promote its services. The cooperative may also sponsor or donate to barangay and municipal activities as part of its community relations strategy.

IV. PRODUCTION PROGRAM

A. Development Plan

The cooperative will continuously improve its lumber trading operations through efficient procurement, processing, and marketing systems. PROMULCO is equipped with the following tools and equipment:

- One (1) unit 5-hp electric power table saw
- One (1) unit 3-hp electric power trimmer
- One (1) unit chainsaw for resizing and preparation

These tools enable PROMULCO to provide cut-to-size lumber and re-saw services based on customer specifications.

B. Source of Raw Materials

PROMULCO shall source raw materials from legitimate Community-Based Forest Management (CBFM) holders, Private Land Timber Permit (PLTP) operators, and registered lumber suppliers within the province. All transactions will be properly documented in compliance with DENR policies and procedures.

C. Operation Schedule

Operations will be conducted year-round, subject to valid business permits and DENR-issued lumber dealer authorization.

D. Processing Schedule

PROMULCO will not engage in log-to-lumber conversion, in compliance with national regulations. Only resizing and trimming activities will be undertaken using registered machinery. All finished lumber will be displayed at the lumber yard for immediate sale and distribution.

E. Pollution Control Measures

The cooperative adopts a zero-waste policy, ensuring that lumber waste is reused and repurposed into smaller sticks or crates. PROMULCO also practices the 5Rs (Reuse, Reduce, Recycle, Refuse, Repurpose) in its operations.

F. Employment Generation

The cooperative employs 2 to 3 regular workers for daily operations, with additional on-call laborers as needed. Preference is given to qualified residents of Prosperidad to support local employment.

V. FINANCIAL PROGRAM

As a newly established lumber dealer, **PROMULCO's financial performance** will initially depend on market development, availability of raw materials, and the cooperative's ability to build a steady client base. The following projections are based on modest operations for the first year, expanding as market demand increases.

- **Revenue Estimates**

- Annual disposed lumber : 21,000.00 bd.ft.
- Cost per board feet : Php 35.00
- Annual Income : Php 735,000.00

- **Annual Production Projection Cost**

Materials/Equipment/Operating Expenses	Annual Cost
Raw Materials (21,000 bd.ft. with price of Php. 9.00 per bd.ft.)	Php 189,000.00
Labor for milling (21,000 bd.ft with price of Php. 1.00 per bd.ft.)	Php 21,000.00
Annual power consumption/electricity	Php 36,000.00
Annual Rent	Php 60,000.00
Salary (on call laborer)	Php 60,000.00
Transportation of raw materials including labor	Php 42,000.00
Annual utilities/water	Php 12,000.00
Equipment/tools maintenance and repair cost (circular saw and trimmer)	Php 20,000.00
Total Cost	Php 440,000.00

- **Net Income Calculation**

The projected **net income** for lumber retailing is estimated at **Php. 295,000.00** for CY 2025, net income is projected to increase as the business grows and the supply and demand network expands.

The lumber dealer business has an **initial investment of Php. 100,000.00** to finance its operations. As a result, it does not require financial assistance from any lending institution for the current year.

Respectfully Submitted,

PROSPERIDAD MULTI-PURPOSE
COOPERATIVE (PROMULCO)

By:



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Proprietor